

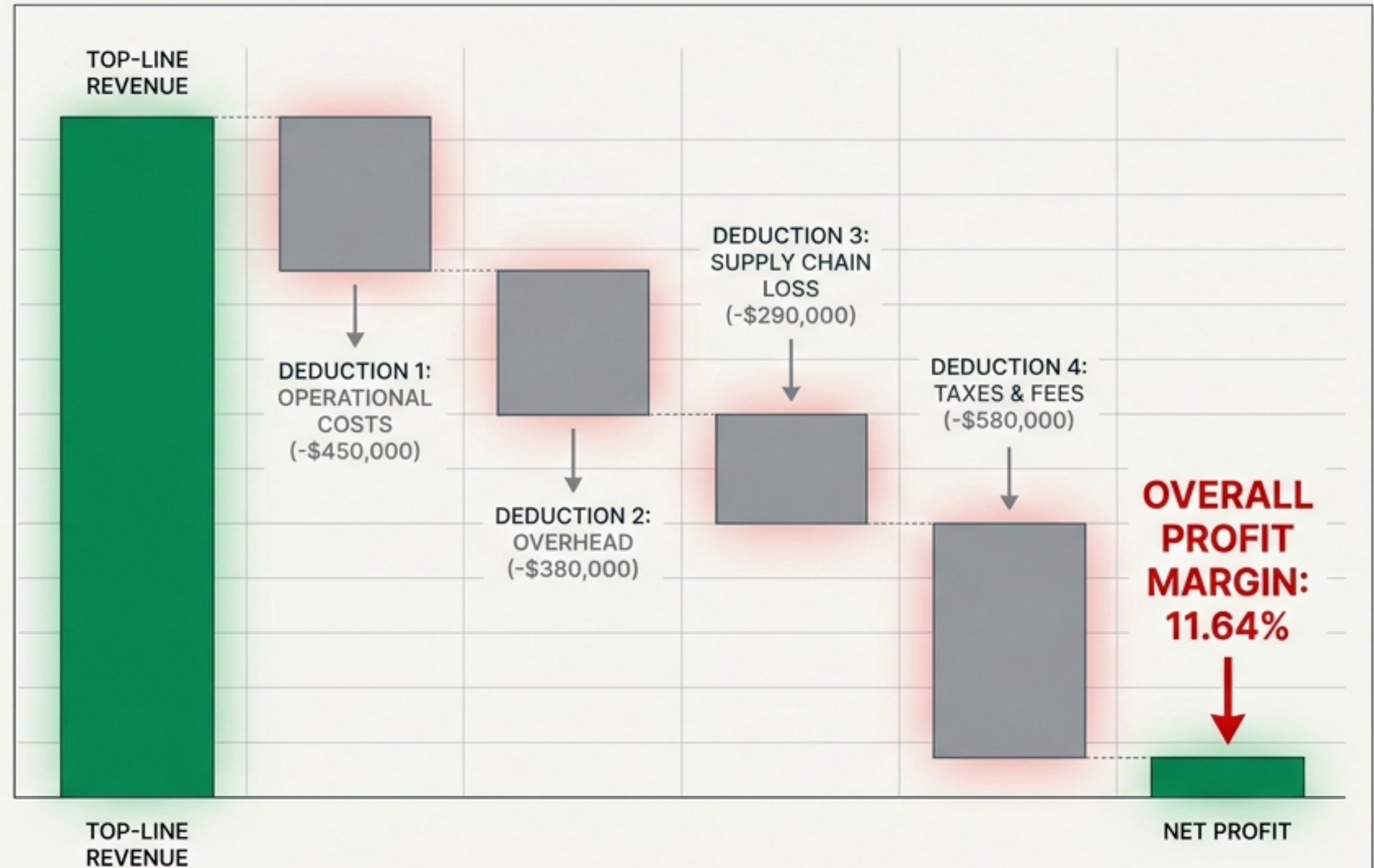
2015 US Superstore Performance: Uncovering the Margin Leaks

Executive Diagnostic & Strategic Turnaround Plan

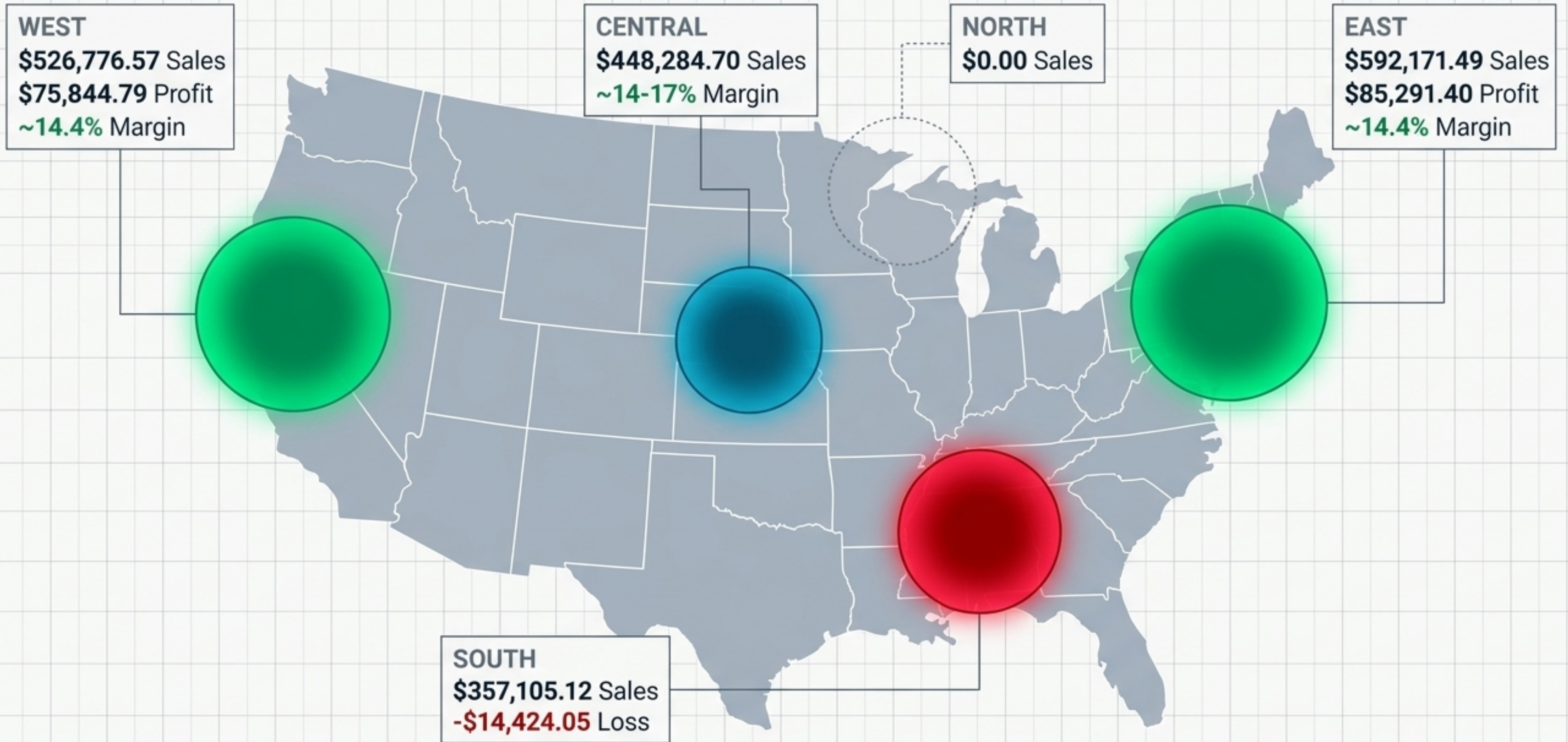
TOP-LINE
REVENUE:
\$1,924,337.88

AVERAGE
MONTHLY
REVENUE:
\$320,722.98

H1 GROWTH
VELOCITY:
+15.9%



Top-line velocity is masking **severe internal bleeding**. A deeper diagnostic is required to isolate and plug the **margin leaks**.



Healthy **14.4%+ margins** on the coasts are subsidizing a **severe regional divergence** in the South.

THE SOUTH DEFICIT

Revenue Generated: \$357,105.12

Net Yield:
-\$14,424.05

Operating Margin: -4.04%

THE CULPRITS



Telephones & Communication
-\$12,904.99 net loss



Envelopes
-\$4,321.13 net loss

Generating over a third of a million dollars in Southern revenue resulted in a -\$14.4k penalty. The bleed is heavily concentrated in two mismanaged sub-categories.

Clinical Financial Forensics

Clinical Itra-thin precision audit report

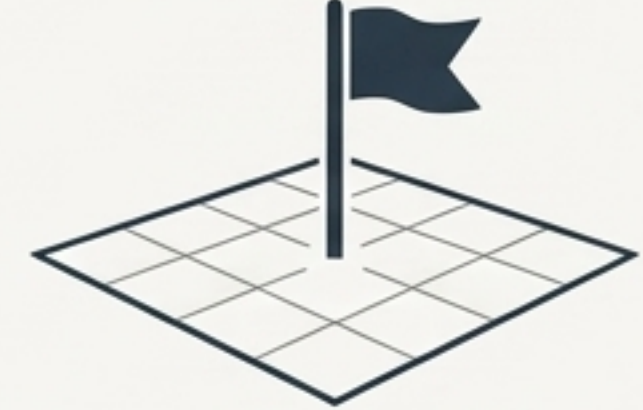
Data Pipeline Error



Is our CRM failing to map regional territory data correctly?

North Region:
\$0.00

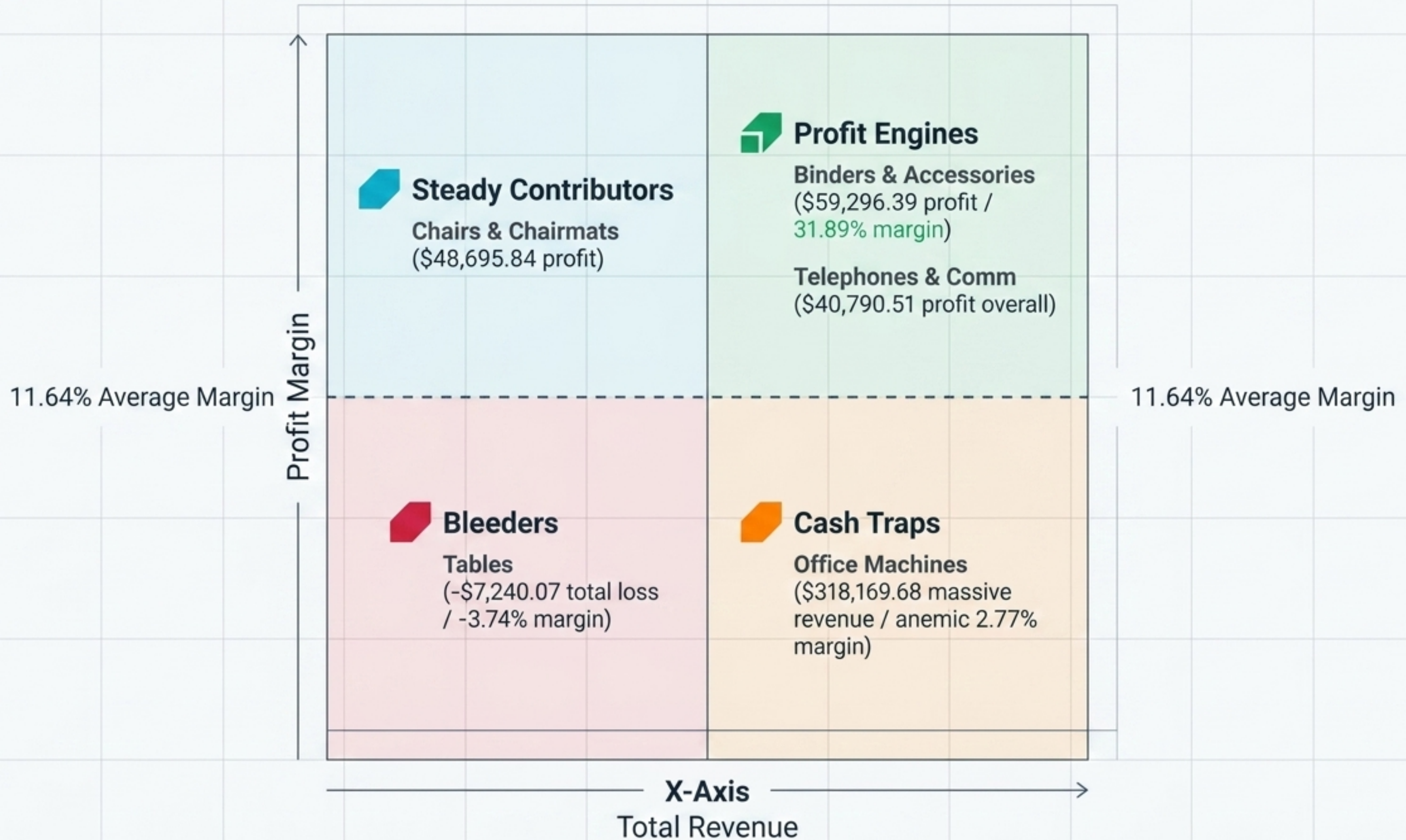
Unpenetrated Territory



Is this a genuine zero-sales environment representing massive untapped market share?



Mandate: Immediate territory mapping verification required to determine if this is a technical blind spot or a strategic opportunity.



Clinical Financial Forensics

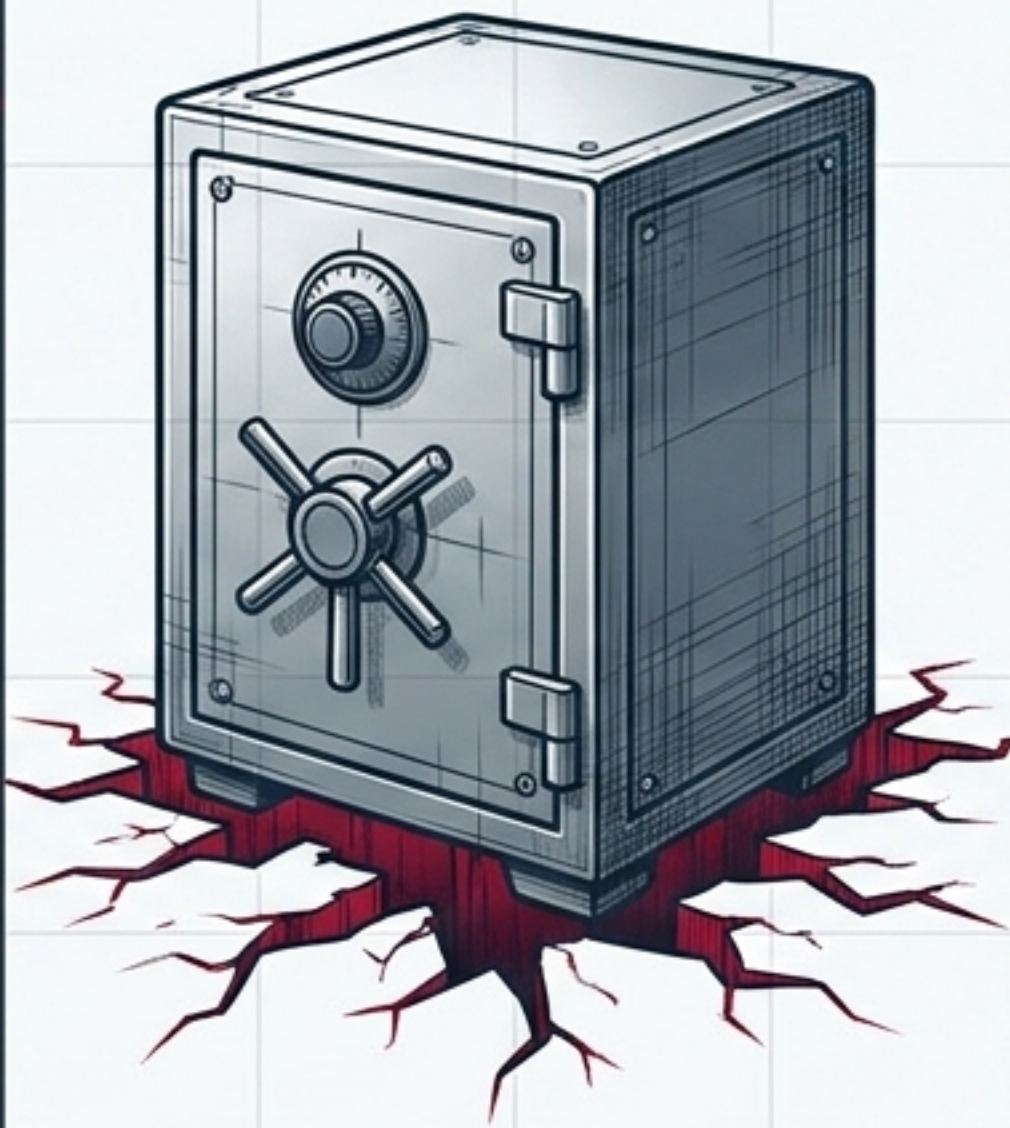
Clinical ultra-thin precision audit report

The Sinkhole: Tables

Overall Margin: **-3.74%**

Regional Failures:
East (-\$10,627.62 loss) and
Central (-\$8,115.24 loss)

Takeaway: Actively destroying capital in otherwise highly profitable regions.



The Illusion: Office Machines

Total Sales: **\$318,169.68**
(Top Revenue Performer)

Net Margin: **2.77%**

Takeaway: Consuming massive operational bandwidth and generating massive cash flow, but capturing virtually zero bottom-line value.

The Anchor



Delivery Truck

Consumes **52.2%** of total shipping costs across all modes.

Incurs **\$12,137.80** in pure **freight expense**, primarily dragging heavy items like Tables and Machines.

The Engine



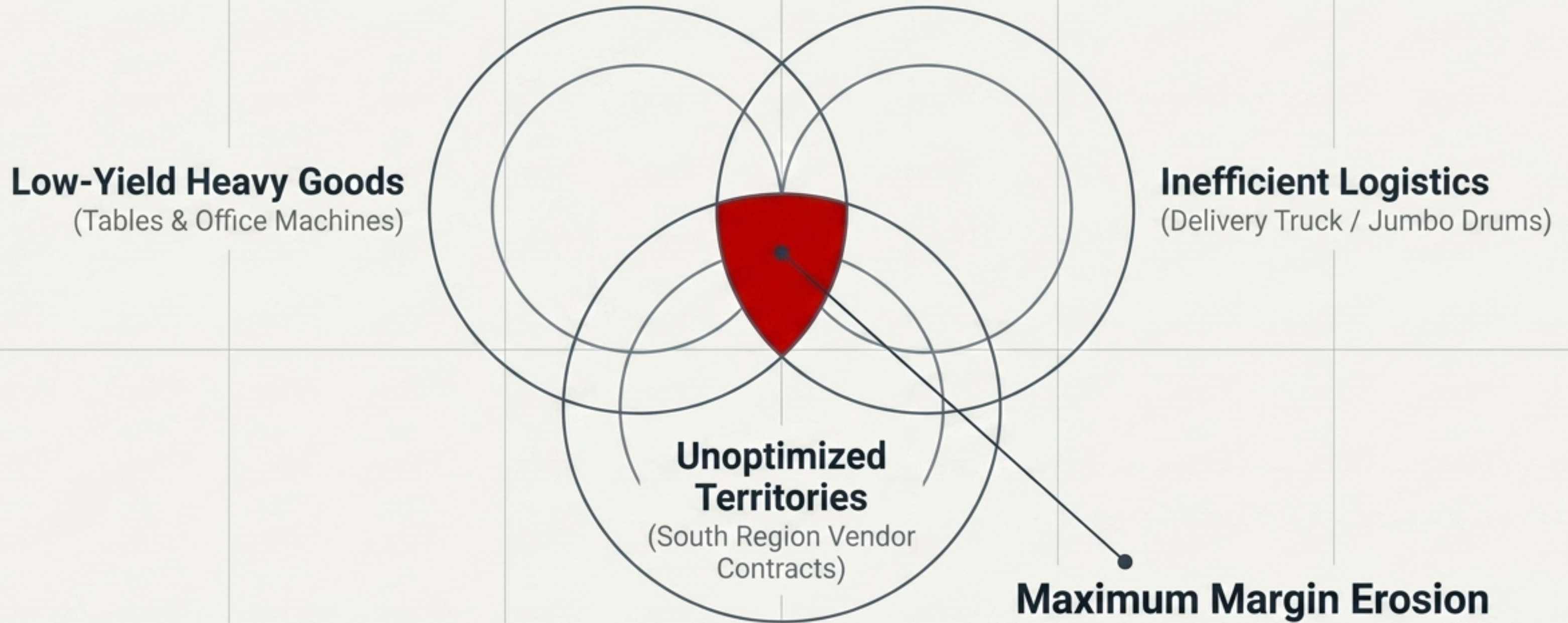
Regular Air

Generates **\$149,751.80** in net profit.

Requires a comparatively tiny freight footprint of only **\$10,984.57**.

Delivery Truck logistics for heavy cargo containers are acting as a margin anchor, wiping out the thin yields of Office Machines and pushing Tables into the red.

Clinical Financial Forensics and Diagnostic Audit Report



Our biggest losses are not random anomalies. They occur predictably at the exact intersection of heavy physical cargo, high-cost ground transport, and unoptimized regional vendor agreements.

Action 1: South Region Turnaround

Mandate: Immediately audit pricing, vendor contracts, and shipping fulfillment in the South territory.



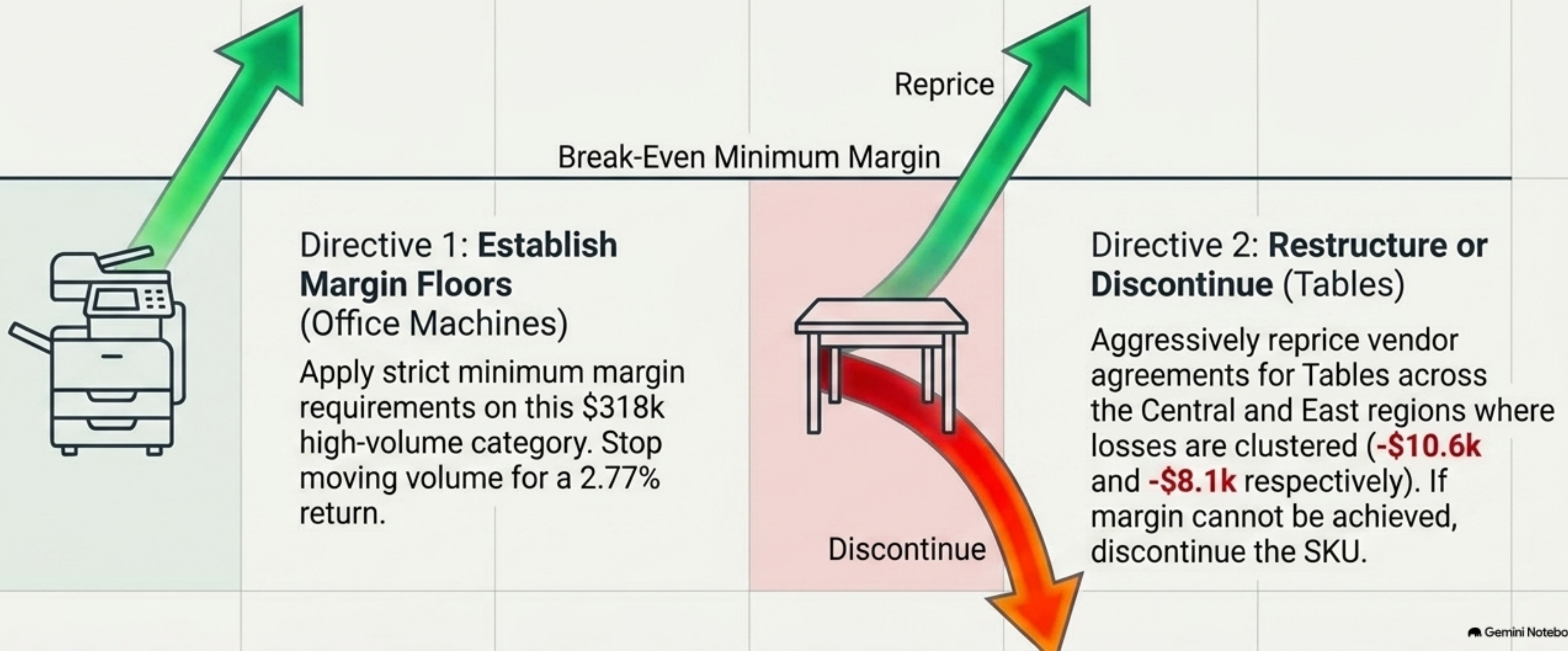
Targeted renegotiation of supplier contracts and discount structures for **Telephones & Communication** to reverse the **-\$12.9k** regional loss.



Cost-basis audit on **Envelopes** to erase the **-\$4.3k** deficit.

Goal: Reclaim the **-\$14,424.05** net deficit and convert the **\$357k** revenue stream into actual profit.

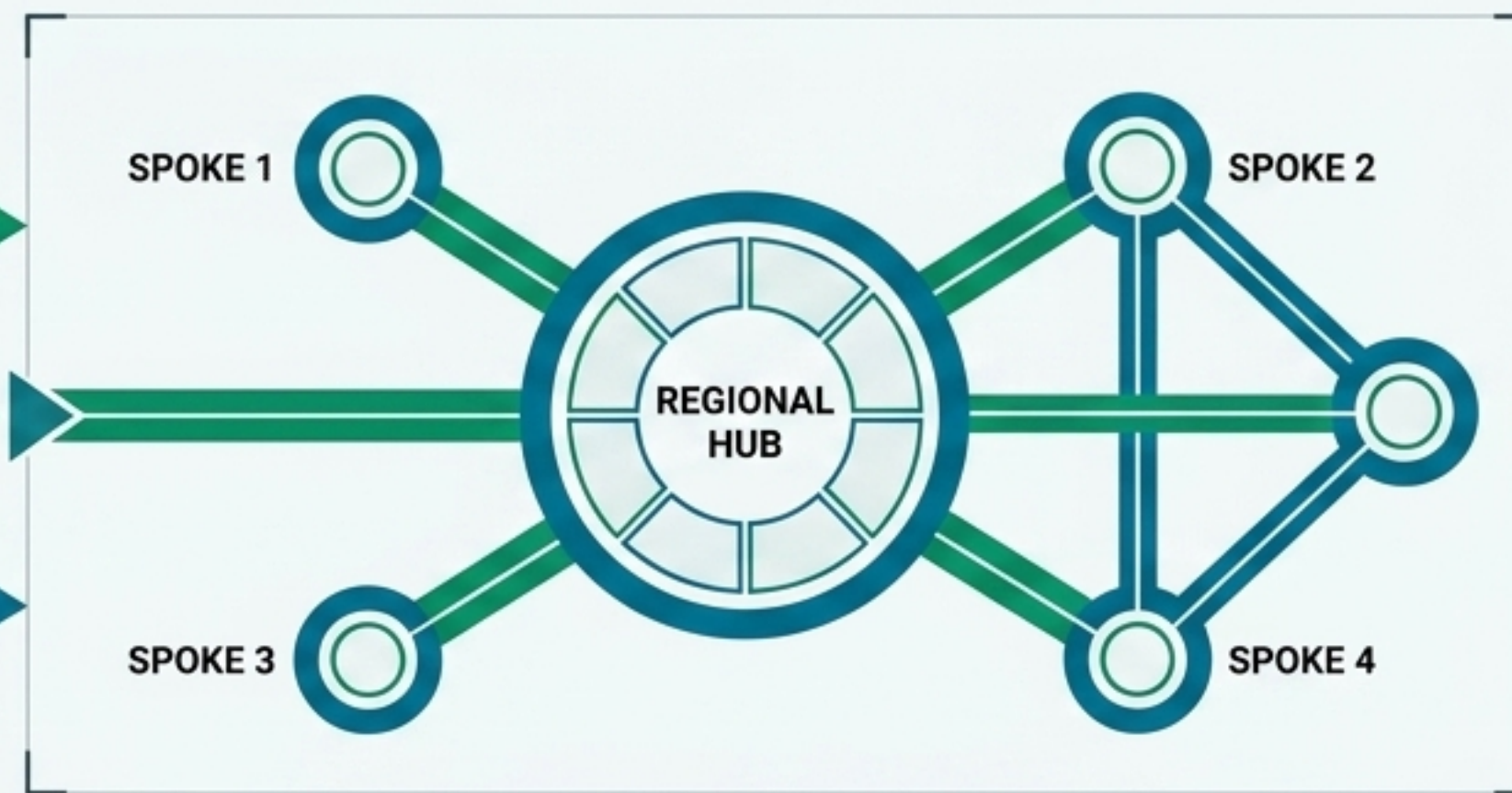
Action 2: Reprice & Restructure



Action 3: Freight Logistics Overhaul



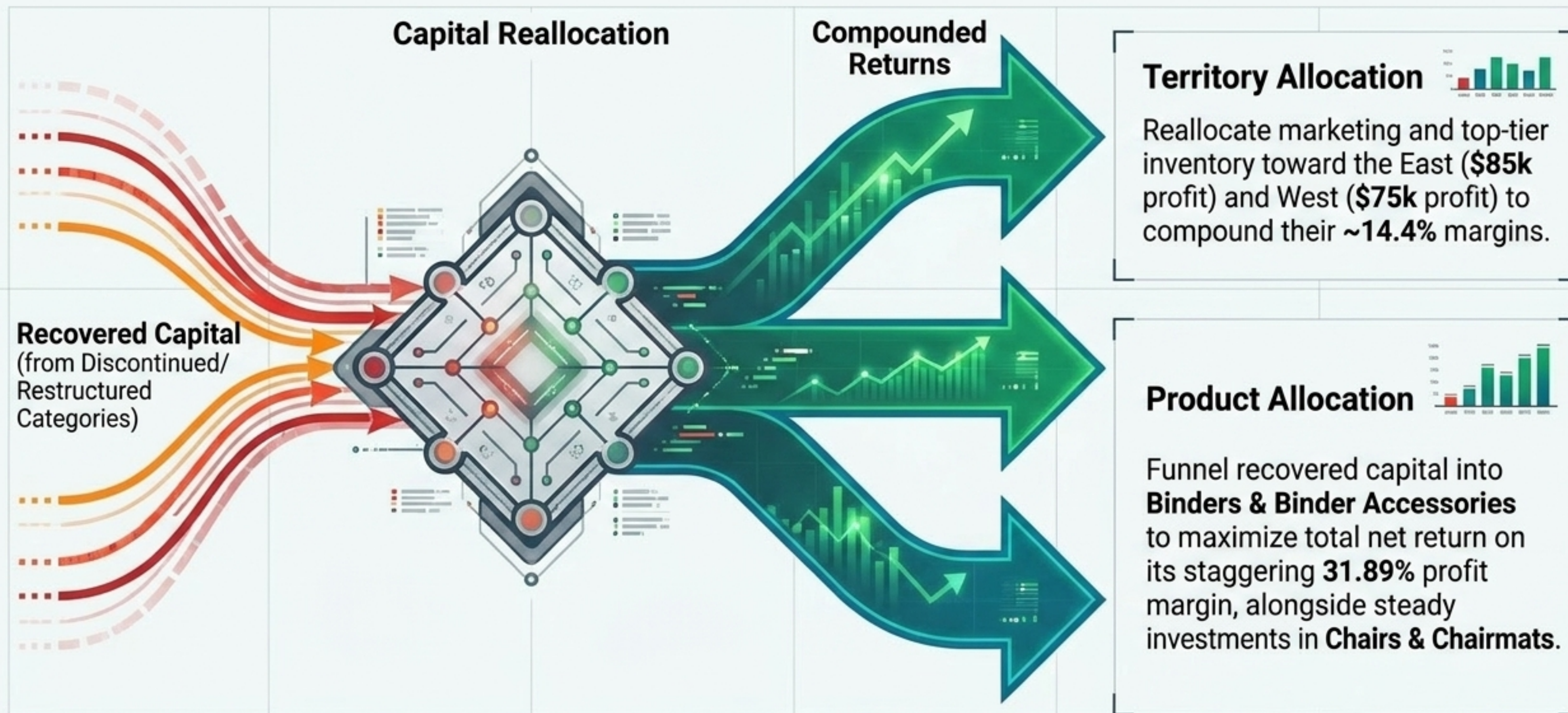
Mandate: Shift freight handling for heavy cargo items (Tables, Office Machines, Jumbo Drums) away from high-cost Delivery Truck logistics.



Strategy: Transition these categories to optimized regional distribution hubs.

Goal: Slash the 52.2% total shipping cost overhead that is currently destroying the bottom-line viability of heavy categories.

Action 4: Double Down on Winners



The 2016 Turnaround Mandate



Fix the South.

Renegotiate Telephone/Envelope contracts to erase the **-\$14.4k** deficit.



Floor the Machines.

Implement strict margin floors on **\$318k Office Machine** revenue; restructure **Tables**.



Hub the Freight.

Migrate heavy cargo away from **52.2% Delivery Truck** overhead.



Feed the Winners.

Reallocate budget to **31.8% margin** Binders and the **highly profitable East/West coasts**.

Top-line velocity is secure. Execution of these four pillars will align our bottom-line reality with our top-line potential.